

What Are Transaction Costs?

In economics, transaction costs are the fees paid by buyers, but not received by sellers, and/or the fees paid by sellers, but not received by buyers. In finance, transaction costs refers to the premium above the current market price required to attract additional sellers into the market, and the discount below the current market price required to attract additional buyers into the market. Transaction costs are described by Ronald Coase (1937) in “The Nature of the Firm” as an unavoidable cost of doing business. He was subsequently awarded the Economics Nobel Prize in 1991 for his leading edge work.

What Is Best Execution?

The perception that best execution is an elusive concept has become severely overplayed in the industry. In reality, “best execution” is a very simple and direct concept:

Best execution (as stated in *Optimal Trading Strategies*) is the process of determining the strategy that provides the highest likelihood of achieving the investment objective of the fund. The strategy consists of managing transaction costs during all phases of the investment cycle, and determining when it is appropriate to take advantage of ever-changing market conditions.

Wayne Wagner described best execution in even simpler terms:

It is the process of maximizing the investment idea.

Best execution does not depend on how close the execution price occurs to an arbitrary benchmark price (such as the open, close, high, low, VWAP, etc.). Rather, it does depend on the investor’s ability to make proper trading decisions by incorporating all market uncertainties and the current market conditions. The ultimate goal of best execution is to ensure that the trading decisions are consistent with the overall investment objectives of the fund. (See Kissell and Malamut (2007) for a discussion on ensuring consistency between investing and trading consistency.)

To determine whether or not best execution has been met requires the performance evaluation to be made based on the “information set” that was available at the beginning of trading combined with the investment objective of the fund. If either the information set or the underlying investment objective is not known or is not available it is simply not possible to determine if best execution was achieved—regardless of how close the transaction prices were to any benchmark price.